

# Copia Investment Partners Group

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## Procedure – Brokerage Arrangements

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| Effective Date:            | 26 August 2024                                                                                                       |
| Date Prepared:             | 26 August 2024 – Board approved                                                                                      |
| Reviewed by:               | Compliance                                                                                                           |
| Approved by:               | Partners                                                                                                             |
| Other related policies:    | <ol style="list-style-type: none"><li>1. Compliance Management Plan</li><li>2. Conflicts Management Policy</li></ol> |
| Related legislation/Guides | <ol style="list-style-type: none"><li>1. FSC Guidance Note No.10.00: Brokerage Arrangements</li></ol>                |

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# Brokerage Arrangements

## 1. Purpose of Procedure

This Procedure documents how Copia Investment Partners Ltd (**CIPL**) and its Authorised Representative appointed as investment management (**Partners**) will appoint, manage, monitor and pay benefits to brokers.

This policy applies to all entities within the Copia group of companies and its Partners [**collectively** referred to as **we**].

## 2. Policy

*We will only authorise brokers to place trades on our behalf if we are of the opinion that the trade will be implemented on a best execution basis.*

Best execution involves obtaining the most favourable on-going total cost for execution through assessing brokerage, spreads, market impact and speed of transacting with respect to the size and complexity of trades.

Primary responsibility for investment management and investment matters, including the appointment, management and performance monitoring of brokers, rests with the Partners. CIPL will support and assist the Partners to effect these matters and decisions but doing so will not alter the primary responsibility.

## 3. Overview

CIPL and the Partners are required to place trade orders with brokers who are either members of an exchange on which the securities are listed and quoted, or who otherwise have arrangements with such members. Brokerage is paid as consideration to the brokers for placing and clearing orders, usually expressed as a percentage of the value of the trade.

In some instances, brokers have provided incentives to attract orders for trades. These incentives may include:

- a) discount brokerage rates on a large volume of trades by number or value
- b) research on companies and other investment opportunities
- c) privileged access to securities issued through initial public offerings
- d) access to software services under their software licences, such as IRESS or Bloomberg, subject to the software licence cost being covered by the amount of commission (including notional commission) that may be generated through placed trade orders<sup>1</sup>.

The provision of some incentives<sup>2</sup> may call into question the impartiality of CIPL and the Partners when dealing with clients' assets and may give rise to a conflict of interest (between gaining a benefit for the CIPL and acting in the best interests of investment clients).

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<sup>1</sup> These arrangements are often referred to as 'soft dollar commissions'

<sup>2</sup> We note that some incentives, such as access to company research or ability to preferentially access securities issues may be in the interests of our clients

C IPL and its Partners must avoid or appropriately manage conflicts with the interests of our clients and place the interests of our clients above our own.

### 3.1 Principles

C IPL and its Partners will only place trades with brokers if, at the time the order is placed, we are of the view that the trade is made in the best interests of the relevant clients.

The Financial Services Council (**FSC**) divides brokerage services into discrete categories depending on how goods and services are provided by the brokers to an investment manager. Some of these categories of service arrangements are unacceptable and must be avoided because the arrangements generate direct benefits for the investment managers and may give rise to actual or perceived conflicts. We will not enter into any broker arrangements that are unacceptable:

| Category Title                        | Description                                                                                                                                                                                                                                                                                                                                                                           | Acceptable/<br>Unacceptable |
|---------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|
| Standard Full Service Brokerage       | Broker <u>produced</u> and supplied goods and services that are directly linked with trades and trade advice –e.g., trade execution and in-house broker research.                                                                                                                                                                                                                     | Acceptable                  |
| Alternative Brokerage Arrangement - A | Broker <u>purchased</u> and supplied goods and services that are directly linked with trades and trade advice – e.g., third party research and software that assists in pre-trade analysis.<br><br>Goods or services acquired through such arrangements must be reasonably expected to assist in the provision of investment services, trading activity or making decisions to trade. | Acceptable                  |
| Alternative Brokerage Arrangement - B | Broker <u>produced</u> and supplied goods and services that are not directly linked with trades and trade advice – e.g., services relating to the valuation or performance measurement of portfolios                                                                                                                                                                                  | Unacceptable                |
| Alternative Brokerage Arrangement - C | Broker <u>purchased</u> and supplied goods and services that are not directly linked with trades and trade advice – e.g., market data available from data service providers, costs associated with attending conferences and seminars, services relating to the valuation or performance measurement of portfolios or custody services.                                               | Unacceptable                |
| Alternative Brokerage Arrangement – D | Directed brokerage encompasses arrangements whereby an investor directs trades for its account to be executed through a specific broker. In return, the investor is often provided with a rebate                                                                                                                                                                                      | Acceptable                  |

| Category Title                                                          | Description                                                                                                                                                                                                                                                          | Acceptable/<br>Unacceptable |
|-------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|
| (Directed brokerage and commission recapture arrangements)              | of commission or additional goods and services either from that broker or a third party.<br><br>Commission recapture programs provide for a rebate of commission or additional goods and services without a specific direction to trade through a particular broker. |                             |
| Alternative Brokerage Arrangement – E<br>(Prime brokerage arrangements) | Trade execution plus additional services such as securities lending and custody. The services are often interlinked, and all are reflected in a brokerage fee.                                                                                                       | Acceptable                  |

**Table 1: Categories of brokerage arrangements**

### 3.2 Broker selection

Each Partner may appoint brokers to trade securities for the portfolios they are responsible for. Generally, these appointments will be Standard Full-Service Brokerage arrangements. However, Alternative Brokerage Arrangements A and E may also be entered into.

All brokerage appointments will be documented and categorised per Table 1.

Brokers will only be appointed on the bases that:

- a) they are assessed by the authorized representative as being able to execute allocated trades on a best execution basis
- b) the cost of the brokerage is competitive with similar brokers providing comparable services (subject to c below)
- c) where a brokerage arrangement has been entered into for both trade execution and to gain access to research or other eligible services, a record will be maintained justifying the brokerage selection on the quality of the research or other services provided and their relevance to the interests of the clients – particularly where the brokerage cost is higher than for comparable brokerages, and
- d) where an arrangement has been entered into with a prime broker (Alternative Brokerage Arrangement – E) for the purposes of borrowing securities for short selling, a separate Australian Master Securities Lending Agreement (**AMSLA**) will be entered into for that arrangement.
- e) Before the appointment of a new broker the form attached in Appendix 1 must be completed and signed off by the Partner.

### **3.3 Brokerage monitoring**

A list of all brokers appointed by the Partners shall be maintained by each Partner and communicated to CIPL. A record of all brokerage paid to the brokers shall be recorded by the Partner.

The head of investments appointed by each Partner shall review and sign off on the list on a quarterly basis. The signed off will be provided to CIPL.

Performance monitoring is the responsibility of each Partner. Monitoring is effected on an ongoing and relatively informal basis given the small number of brokers. It usually undertaken on an 'as required' basis. For example, if the performance on a trade is disappointing or the broker undergoes a sudden change event, such as a change in organisational structure, key personnel or ownership.

Any negative performance outcomes are identified, assessed and managed by the Partner with support from CIPL as required. Significant negative outcomes may result in escalation: e.g., listing in CIPL's Breach & Incidents Register and management via the breach and incidents management process. If required as a result of poor performance the broker may be terminated.

### **3.4 Strategy for obtaining best execution**

In appointing brokers the Partners shall consider:

- 1) the total costs of trades that may be placed with that brokerage over a 12-month period, and
- 2) whether a broker is capable of providing best execution services.

in addition to the total cost of brokerage that may be payable, the Partners shall consider:

- a) the quality of company research provided by a broker, and the ability of that research to generate competitive investment opportunities for our clients
- b) the ability of a broker to provide preferential invitations to participate in initial public offerings, discounted placements or sub-underwriting or other fee generating opportunities that which may advance the interests of our clients; and
- c) any other relevant and pertinent considerations

### **3.5 Conflicts of interests**

CIPL has implemented a Conflicts Management Policy. This policy applies to Partners. Actual, potential or perceived conflicts arising from the selection and appointment of brokers are subject to this policy.

Any member of a Partner who receives a gift or benefit from a broker is required to comply with the Gifts and Benefits Rules.

The Compliance team will review the application of this Procedure and the Conflicts Management Policy.

#### 4. Persons responsible for procedure

*The heads of each Copia group investment team are responsible for implementing this policy.*

*These are:*

| <i>Investment Team</i> | <i>Officer responsible for implementation</i>                        |
|------------------------|----------------------------------------------------------------------|
| <i>OC Funds</i>        | <i>Robert Frost, OC Head of Investment</i>                           |
| <i>Vertium</i>         | <i>Jason Teh, Chief Investment Officer</i>                           |
| <i>Chester</i>         | <i>Rob Tucker, Chester Managing Director &amp; Portfolio Manager</i> |

#### 5. Application:

This Policy applies to CIPL and its Partners as defined above..

## APPENDIX 1 - New Broker Appointment Due Diligence Checklist

New broker selection, assessment and appointments are the sole responsibility of the Investment Manager. This Checklist and due diligence assessment must be completed before the appointment of any new broker; and advice of the appointment of a new broker must be provided to Copia as RE prior to the appointment.

|                                                                                             |                          |                                 |                          |
|---------------------------------------------------------------------------------------------|--------------------------|---------------------------------|--------------------------|
| <b>Fund Partner name (Investment Manager):</b>                                              |                          |                                 |                          |
| <b>Broker name &amp; address:</b>                                                           |                          |                                 |                          |
| <b>Due diligence completed for the Fund Partner/Investment Manager by (name and title):</b> |                          |                                 |                          |
| Signature:                                                                                  |                          | Date:        /        /         |                          |
| <b>Broker Due Diligence Considerations:</b>                                                 |                          |                                 |                          |
| <b>Criteria</b>                                                                             | <b>Satisfactory</b>      | <b>Unsatisfactory</b>           | <b>N/A</b>               |
| Reputation and background                                                                   | <input type="checkbox"/> | <input type="checkbox"/>        | <input type="checkbox"/> |
| Research capability                                                                         | <input type="checkbox"/> | <input type="checkbox"/>        | <input type="checkbox"/> |
| Execution capability                                                                        | <input type="checkbox"/> | <input type="checkbox"/>        | <input type="checkbox"/> |
| Market share                                                                                | <input type="checkbox"/> | <input type="checkbox"/>        | <input type="checkbox"/> |
| Corporate access                                                                            | <input type="checkbox"/> | <input type="checkbox"/>        | <input type="checkbox"/> |
| Access to corporate deal flow                                                               | <input type="checkbox"/> | <input type="checkbox"/>        | <input type="checkbox"/> |
| Overall ability to service the Investment Manager                                           | <input type="checkbox"/> | <input type="checkbox"/>        | <input type="checkbox"/> |
| Cost of brokerage                                                                           | <input type="checkbox"/> | <input type="checkbox"/>        | <input type="checkbox"/> |
| Financial strength (last year's Fin Stats)                                                  | <input type="checkbox"/> | <input type="checkbox"/>        | <input type="checkbox"/> |
| <b>Other benefits provided by the Broker:</b>                                               |                          |                                 |                          |
| Category under Table 1 (see Policy) -                                                       |                          |                                 |                          |
| Acceptable or Unacceptable -                                                                |                          |                                 |                          |
| Comment if the appointment is satisfactory and recommended                                  |                          |                                 |                          |
| : YES/NO                                                                                    |                          |                                 |                          |
| <b>Approval of new broker appointment:</b>                                                  |                          |                                 |                          |
| Title & name                                                                                |                          | Signature & date                |                          |
|                                                                                             |                          |                                 |                          |
|                                                                                             |                          |                                 |                          |
| Recommendation accepted/rejected:                                                           |                          |                                 |                          |
| <input type="checkbox"/> Approve                                                            |                          | <input type="checkbox"/> Reject |                          |
| Comment from approver (s) if any:                                                           |                          |                                 |                          |